Homo post Machina: Using Europe's Market Power to Secure Fair Work in AI Supply Chains

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Policy actor: European Commission (DG EMPL, with the European AI Office).
Policy domain: Labour markets and AI supply chains.
Policy problem: Kenyan data workers who train AI earn below living wages within opaque subcontracting chains that Kenya cannot regulate alone.

Introduction

As AI investments reach record highs, debates about its downsides are growing, yet one aspect remains overlooked. Contrary to the "clean" machine interface end users experience, LLMs are trained on data that workers painstakingly label and moderate by hand. As Data Labelers Association (DLA) president Joan Kinyua told the German Bundestag, "you see the AI, but you don't see us" (Deutscher Bundestag, 2026).[1]

Before a model can recognise a pedestrian or refuse a violent request, humans have to label millions of images and texts and filter the most disturbing content online, which affects the mental state of mind (J. Kinyua & E. Kanyugi, personal communication, October 15, 2026). This work is part of an online gig economy of an estimated 154 to 435 million workers, up to 12.5% of the global labour force (Datta et al., 2023). These jobs are concentrated in emerging economies like Kenya, Venezuela, India and the Philippines, often under precarious working conditions. Platforms such as Scale AI's Remotasks or Amazon Mechanical Turk engage workers as independent contractors and pay per task, so effective wages often fall below the local minimum wage[2]. Thus, effective wages depend on how quickly tasks are finished, whether the work is approved, and in many cases fall below the local minimum wage (Hao & Hernández, 2022).

An ILO survey of crowdworkers found average earnings of US$4.43 an hour for paid work, falling to about US$3.30 once unpaid time is counted (Berg et al., 2018). Data on this work remain scarce, hidden behind intermediaries: The Magnificent Seven alone use at least 30 data-work vendors (SOMO, 2025). We therefore take Kenya, a leading hub with organised workers, as our case (Figure 1).

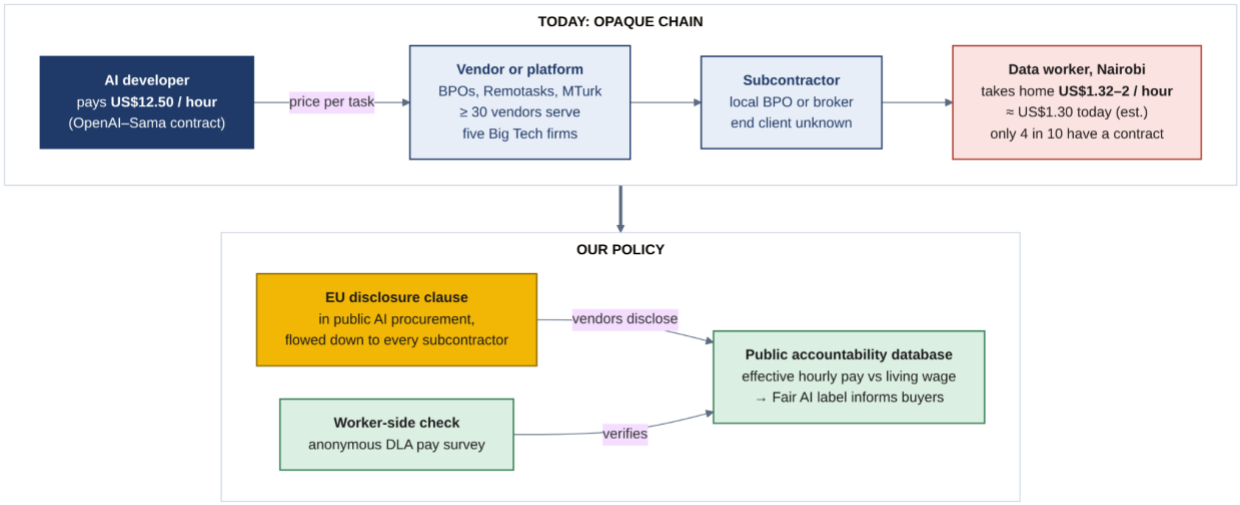


Figure 1. Where the money goes and where the policy intervenes. Sources: Perrigo (2023); SOMO (2025); Tijdens (2026); hourly figure is our estimate.

[1] Kinyua recalled this testimony in our interview with the DLA (J. Kinyua, personal communication, October 15, 2026).

[2] Platforms that recruit more specialised AI trainers (e.g. Outlier, Surge AI and Handshake AI) advertise hourly rates instead. However, workers are still classified as independent contractors and class actions filed in California in 2025 show that strict time limits per task and algorithmic pay deductions turn these effectively into piece rates (Clarkson v. Surge AI 2025).

Surveys by the DLA, though not representative, show that only four in ten labellers have a contract, only one in four earns enough to cover living expenses, and women on average earn below Nairobi's minimum wage for comparable work (Tijdens, 2026). This amounts to roughly US$1.30 an hour (Perrigo, 2023).[3] According to DLA's leadership, the gap also lies in enforcement: Kenya hesitates to act against the firms it courts, and platforms can withdraw overnight, as Remotasks did in 2024 (Rest of World, 2024). Lasting change must therefore come from the demand side, covering suppliers and subcontractors regardless of where labelling takes place.

Policy Solution

We propose a two-instrument policy led by the European Commission to tackle this issue from the consumer and demand side (Figure 2).

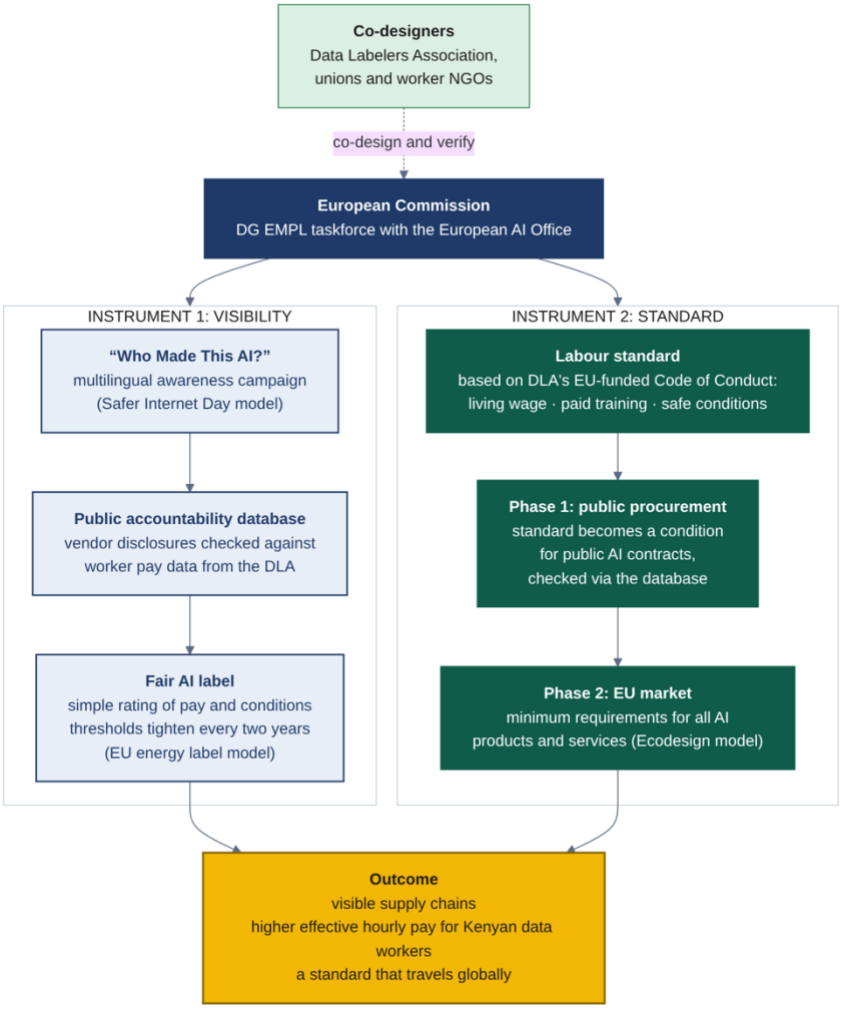


Figure 2: Proposed Policy Instruments.

This utilises the property that EU rules often become global standards, because firms extend them worldwide (Bradford, 2020). This is especially likely for AI, as models are trained once and sold

[3] Furthermore, more than half of platform workers report unpaid tasks (Gutelius & Theodore, 2025), and six in ten find the work mentally exhausting (Tijdens, 2026).

everywhere, making it convenient for AI firms to adopt the EU standards. Hence, we designed a policy encompassing two distinct instruments approaching this problem.

Instrument 1, "Who Made This AI?", starts with a multilingual public campaign that explains AI labour through workers' stories, creating problem awareness and support for labour requirements, following the model of the EU's Safer Internet Day (European Commission, 2026). Alongside it, a public accountability database underpins a "Fair AI" label translating independently verified information on wages and working conditions into an accessible status, inspired by the EU energy labels.

Instrument 2 is an obligatory standard for all new public AI procurement in the EU, building on DLA's EU-funded Code of Conduct (DLA, 2025) and requiring locally benchmarked fair wages, payment for mandatory work and training, and safe working conditions. Meeting the Fair AI standard becomes a condition for these contracts. This stage also serves as a pilot project for the market-wide implementations. After a comprehensive evaluation, the Commission would propose extending the requirements to AI products and services supplied on the EU market (following the EU's Ecodesign rules).

Implementation

A dedicated taskforce within the Directorate-General for Employment, Social Affairs and Inclusion (DG EMPL) could coordinate both instruments with the European AI office, to involve both labour standard expertise and knowledge about the AI market, ensuring congruence with the AI Act. Worker organisations from affected countries join the taskforce as co-designers, contributing expertise on data labelling conditions and helping develop minimum standards for fair wages, working conditions and psychological well-being, as well as the awareness campaign and monitoring methodology.

The policy is then implemented step-by-step, starting with a one-year pilot. In the first year, the taskforce launches the awareness campaign and sets up the accountability database, which initially draws on wage data collected by local organisations. In the second and third year, the procurement rollout follows. EU institutions include the common clauses in their AI tenders and Member States are encouraged to follow, so vendors disclose their subcontractors, checked against the database. The Fair AI label is initiated as a voluntary scheme. In year four, an independent evaluation reviews effects on wages, compliance costs and markets. Its results decide between three scenarios (Figure 3): with high cooperation, the Commission proposes extending the requirements to the whole EU market, which requires approval by Parliament and Council; with mixed cooperation, reporting is simplified and the pilot extended; if vendors refuse, falsify data or relocate work, non-disclosers are named publicly and the design is revised.

Workers can report violations anonymously through different workers organisations, feeding the database ratings alongside annual audits, and label thresholds tighten every two years, as with the EU energy label.

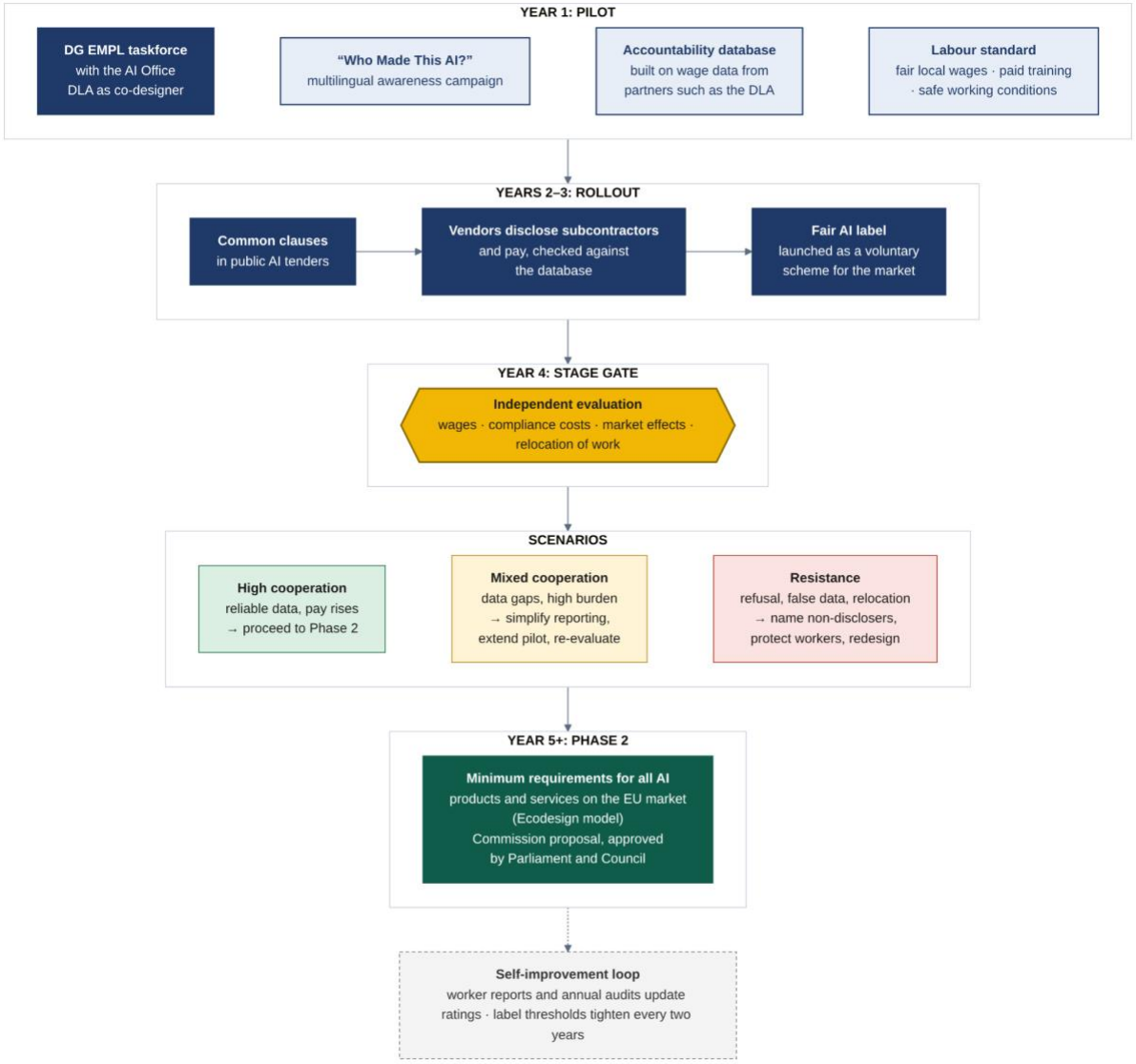


Figure 3: Proposed Policy Implementation and Cooperation Scenarios.

A key concern is whether these standards would increase European AI development costs. Yet, OpenAI reportedly paid Sama US$12.50 per hour while workers received only *1.32* −2 (Perrigo, 2023). Doubling workers' pay would increase the hourly contract cost by roughly 11–16%, assuming other costs remain constant—modest relative to OpenAI's estimated $5 billion compute expenditure in 2024 (Epoch AI, 2025).

Stakeholders

The policy creates winners, net payers and potential opponents (Figure 4). Data workers gain the most and co-design the policy through the DLA. The Commission, AI Office and EU contracting authorities implement it. Furthermore, we argue that disclosure requirements could benefit AI firms by improving transparency and quality control. Laux et al. (2023) find that clear rules and monetary incentives improve annotation accuracy, while Touvron et al. (2023) show that vendor selection affects model performance.

Resistance is most likely from vendors whose margins rely on opacity, and from Member States wary of procurement burdens, addressed by piloting in EU institutions first. Kenya's government, courting outsourcing investment, is ambivalent; hence the policy acts on the demand side. Unlike Sama's self-declared "ethical AI" sourcing, verification rests on workers and independent audits.

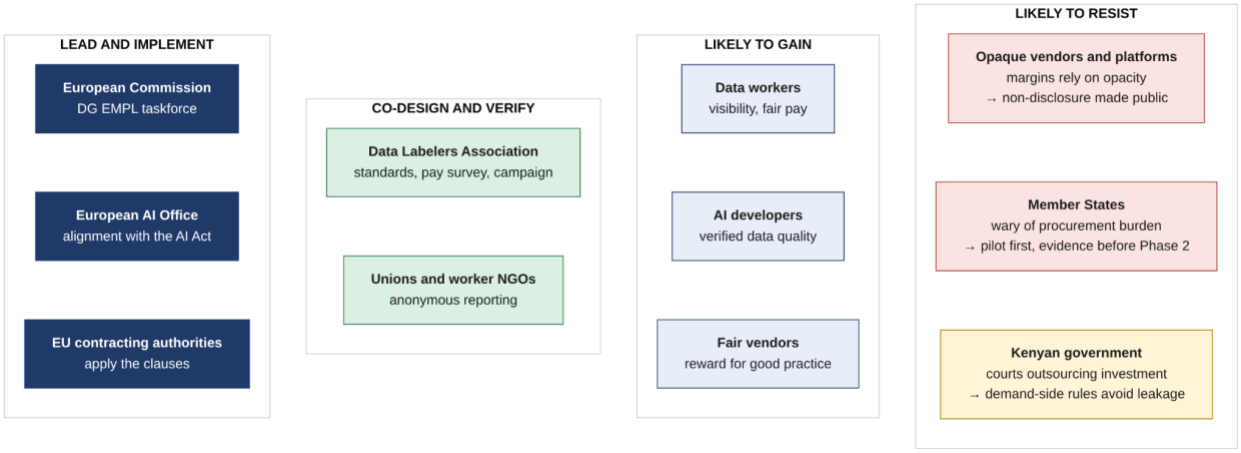


Figure 4: Stakeholders involved.

In conclusion, this policy tackles a novel problem with successively implemented best practices instruments. By adopting this approach, the EU thus could transform AI supply chains and improve workers' lives not just in Kenya but worldwide.

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